

Broadcom Inc. (AVGO.US)

Technology · Semiconductors

Large Cap (>\$200B) · Report Date: June 25, 2026

Latest financials: Q4 FY2025 · Model data as of 2026-06-25

SELL

Blended Target: \$286.58

DCF + Comps + Analyst (see cross-check table)

Implied upside: -24.8%

Price (Jun): \$381.22

INVESTMENT HIGHLIGHTS

- **SELL** — blended target \$286.58 (-24.8% vs \$381.22); multi-method valuation after outlier checks.
- Strong revenue growth; high operating margins; strong roe; positive fcf generation
- Simon FCFE DCF not used in target (low FCFE yield / growth equity); rely on comps and analyst consensus where shown.

INVESTMENT THESIS / EXECUTIVE SUMMARY

Broadcom Inc. (AVGO) — Technology. Broadcom Inc. designs, develops, and supplies various semiconductor devices and infrastructure software solutions internationally. The company operates in... **SELL** rating; blended target \$286.58. See Investment Highlights above and valuation cross-check on page 2.

KEY DATA & MARKET HIGHLIGHTS

Item	Value	Item	Value
Market Cap	\$1.81T	Shares Out.	4757.6M
52-Week Range	\$262.66 – \$495.00	P/E (TTM)	63.5x
P/B	20.7x	Beta	1.43
Avg Volume	26.05M	Analyst Rec.	Strong_Buy
Revenue (TTM)	\$75.46B	Rev Growth	+47.9%
Op. Margin	49.0%	FCF (TTM)	\$26.91B



FINANCIAL & VALUATION SUMMARY

(USD millions except per-share; E = forecast)

Metric	FY 2024A	FY 2025A	FY 2026E	FY 2027E	FY 2028E
Revenue (\$M)	51,574	63,887	94,489	126,880	158,277
Revenue Growth (%)	N/A	23.9%	47.9%	34.3%	24.7%
Net Income (\$M)	5,895	23,126	34,203	45,928	57,294
Net Income Growth (%)	N/A	292.3%	47.9%	34.3%	24.7%
Gross Margin (%)	63.0%	67.8%	76.3%	76.3%	76.3%
Net Margin (%)	11.4%	36.2%	36.2%	36.2%	36.2%
ROE (%)	8.7%	28.4%	42.1%	51.2%	60.9%
EPS (\$)	1.24	4.86	7.19	9.65	12.04
Book Value / Share (\$)	14.23	17.09	17.09	18.84	19.78
P/E (x)	307.66	78.43	53.03	39.49	31.66
P/B (x)	26.80	22.31	22.31	20.24	19.27
Dividend Yield (%)	68.0%	68.0%	68.0%	68.0%	68.0%

VALUATION CROSS-CHECK

Valuation Method	Implied Price	vs. Current	Weight in Target	Notes
DCF (Simon FCFE)	\$131.83	-65.4%	0% (excluded)	DCF implied price < 35% of market (capex-heavy or distorted FCFE)
Profile template weights	—	—	—	High-growth technology: DCF 15%, Comps 70%, Analyst 15%
Comps — P/E (peer median)	\$319.54	-16.2%	—	Peer median P/E 53.3x
Comps — EV/EBITDA (peer median)	\$286.58	-24.8%	—	Peer median 40.7x
Comps — P/S (peer median)	\$218.17	-42.8%	—	Peer median P/S 13.8x
Comps — Blended (avg. of available multiples)	\$286.58	-24.8%	100%	Included in blend
Analyst consensus (Yahoo Finance)	\$523.84	+37.4%	0% (excluded)	Analyst consensus lags / diverges >35% from comps
Blended target (weighted)	\$286.58	-24.8%	100%	Comps 100%
Audit (≥30% vs price)	—	—	—	Triggered (upside ≥ 30%)

DCF VALUATION SUMMARY (SIMON FCFE)

Item	Value
Ke (cost of equity)	11.88%
Terminal g	4.00%
FCFE growth	16.77%
Base FCFE	\$26.91B
PV explicit (5Y)	\$162.10B
PV terminal	\$465.11B
Equity value (adj.)	\$627.21B
Implied price	\$131.83
vs. current	-65.4%

INDUSTRY ANALYSIS

1. Industry Overview

Broadcom Inc. designs, develops, and supplies various semiconductor devices and infrastructure software solutions internationally. The company operates in two segments: Semiconductor Solutions and Infrastructure Software. The company offers networking connectivity, such as custom silicon solutions, ethernet switching & routing, ethernet NIC controllers, physical layer devices, and fiber optic...

2. Key Trends

- Strong top-line growth (47.9% YoY)
- High operating leverage (49.0% margin)
- Above-market volatility (β=1.43)
- Sector: Technology | Industry: Semiconductors

3. Risk Factors

- Premium valuation (P/E: 63.5x)

COMPETITOR ANALYSIS

Ticker	Company	Market Cap	P/E	EV/EBITDA	Net Margin	Rev Growth
AMD	Advanced Micro Devices	\$846.89B	172.5x	112.9x	13.4%	+37.8%
INTC	Intel Corporation	\$652.15B	N/A	48.5x	-5.9%	+7.2%
QCOM	QUALCOMM Incorporated	\$216.65B	22.1x	16.4x	22.3%	-3.5%
TXN	Texas Instruments Inco	\$283.54B	53.3x	32.9x	29.1%	+18.6%
AVGO*	Broadcom Inc.	\$1.81T	63.5x	44.3x	38.8%	+47.9%

* Subject company. Commands premium p/e vs peers; stronger profitability than peers. Strong revenue growth; high operating margins; strong roe; positive fcf generation. Source: Yahoo Finance. Not investment advice.